# Asia week ahead: China's Two Sessions and South Korean inflation data

China s Two Sessions meetings, when growth targets will be announced, begin on 4 March. Key data releases include China s manufacturing purchasing managers index and South Korean inflation and exports

## Asia Research Highlights of the Week

Japan's inflation cools despite improving growth, leaving BoJ in no rush to tighten
The Bank of Korea stands pat, highlighting its neutral stance
From IEEPA to Section 122: What a tariff reset means for Asia
Bank of Japan won't alter its policy normalisation path

## China: All eyes on the Two Sessions

The long-awaited Two Sessions kicks off in Beijing on 4 March. We'll get China s key economic targets for 2026, most notably for GDP growth. We believe there s a chance the growth target will

be lowered to "above 4.5%" from "around 5.0%" over the past few years. China will also unveil fiscal targets, including for the deficit-to-GDP ratio and bond issuance. Markets will watch closely for any new stimulus directions outlined in the readout. The finalised 15th Five-Year Plan will be approved at the meeting, setting the stage for the next five years of China s development.

We'll get China s February manufacturing purchasing managers index. We expect the official manufacturing PMI to moderate to 49.1.

## South Korea: Exports expected to grow amid strong semiconductor demand

South Korea's exports should continue to record strong gains in February. Despite unfavourable calendar effects due to the timing of the Lunar New Year holiday, exports are expected to rise 25% year-on-year in February. Data on 20-day exports showed that semiconductors jumped 134%. As DRAM/HBM prices continue to rise, value term exports will increase substantially for an extended period. Meanwhile, auto exports are likely to decline, with Lunar New Year expected to have a more negative impact. Industrial production and retail sales in January are expected to show mild gains, driven by robust global chip demand and the local equity rally. Meanwhile, consumer inflation is expected to rise to 2.2% year-on-year in February. Gasoline prices rose, and additional price hikes are expected amid holiday demand.

## Key events in Asia next week

| Country | Time (GMT+8) | Data/event | ING | Prev. |
|---|---|---|---|---|
| | | **Sunday 1 March** | | |
| South Korea | 0800 | Feb Exports (YoY%) | 25 | 33,8 |
| | 0800 | Feb Imports (YoY%) | 15 | 11,6 |
| | 0800 | Feb Trade Balance (USD bn) | 10 | 8,7 |
| | | **Monday 2 March** | | |
| China | 0945 | Feb Manufacturing PMI Final | 49,1 | 50,3 |
| Japan | 0830 | Feb S&P Manufacturing PMI Final | 52,8 | 52,8 |
| India | 1300 | Feb HSBC S&P Global Manufacturing PMI | - | 57,5 |
| | 1830 | Jan Industrial Production (YoY%) | - | 7,8 |
| Indonesia | 0830 | Feb IHS S&P Global PMI | - | 52,6 |
| | 1200 | Feb Core CPI (YoY%) | 2,5 | 2,45 |
| | 1200 | Feb Inflation (MoM%/YoY%) | -/4.3 | -0.15/3.55 |
| | 1200 | Jan Trade Balance (USD bn) | - | 2,5 |
| | 1200 | Jan Exports Growth (YoY%) | 12,5 | 11,6 |
| | 1200 | Jan Imports Growth (YoY%) | 15 | 10,8 |
| Philippines | 0830 | Feb Manufacturing PMI | - | 52,9 |
| Singapore | 2100 | Feb Manufacturing PMI | - | 50,5 |
| | | **Tuesday 3 March** | | |
| Japan | 0730 | Jan Unemployment Rate | 2,6 | 2,6 |
| | 0730 | Jan Job-To-Applicant Ratio | 1,2 | 1,2 |
| | 0730 | 4Q Capital Spending (YoY%) | 3,5 | 2,9 |
| Australia | 0830 | Q4 Current Account Balance (AUD bn) | - | -16,6 |
| Philippines | 1600 | Dec Budget Balance (PHP bn) | - | -157,6 |
| Taiwan | 0830 | Feb S&P Global Manufacturing PMI | - | 51,7 |
| | | **Wednesday 4 March** | | |
| China | 0930 | Feb NBS Manufacturing PMI | - | 49,3 |
| | 0930 | Feb NBS Non-Manufacturing PMI | - | 49,4 |
| | 0945 | Feb RatingDog Services PMI | - | 52,3 |
| Japan | 0830 | Feb Services PMI Final | 53,8 | 53,8 |
| | 1300 | Feb Consumer Confidence | - | 27,9 |
| South Korea | 0830 | Feb IHS S&P Global Manufacturing PMI | 52 | 51,2 |
| | 0700 | Jan Industrial Output (MoM%/YoY%) | 1.0/2.5 | 1.7/-0.3 |
| | 0700 | Jan Retail Sales (MoM%) | 1 | 0,9 |
| Australia | 0830 | Q4 Real GDP (QoQ%/YoY%) | -/- | 0.4/2.1 |
| Taiwan | 1600 | Jan Export Orders (YoY%) | - | 43,8 |
| | | **Thursday 5 March** | | |
| Philippines | 0900 | Feb Core CPI (YoY%) | - | 2,8 |
| | 0900 | Feb CPI (MoM%/YoY%) | -/2.3 | 0.8/2 |
| Singapore | 1300 | Jan Retail Sales (MoM%/YoY%) | -/- | -5.4/2.7 |
| Taiwan | 1600 | Jan Industrial Output (YoY%) | - | 21,6 |
| | 1620 | Feb FX Reserves (USD bn) | - | 604,5 |
| | 1620 | Jan Retail Sales (YoY%) | - | 0,9 |
| | | **Friday 6 March** | | |
| India | 1930 | FX Reserves (USD bn) | - | 726 |
| South Korea | 0700 | Feb CPI Growth (MoM%/YoY%) | 0.4/2.2 | 0.4/2 |
| | 0700 | Jan Current Account Balance NSA | - | 18,7 |
| Indonesia | 1100 | FX Reserves (USD bn) | - | 154,6 |
| Philippines | 1700 | FX Reserves (USD bn) | - | 112,5 |
| Taiwan | 1600 | Feb CPI (YoY% NSA) | - | 0,69 |

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